



TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open any stock/index chart.

Set the chart to a 5-minute timeframe.

Apply RSI with its default settings.

Apply the second RSI with an hourly chart timeframe.

Look for the second RSI to be below the 50 level.

Meanwhile, look for the first RSI to enter the overbought zone and the price to form a bearish candle.

SELL at the low of the red candle.

STOPLOSS is above the high of the red candle.

TARGET is booked when the first RSI crosses the 30 level from below after entering into the oversold zone.

On 20th April 2023, the Nifty 50 opened gap up, went downward and formed a red candle with huge lower wick. This showed market strength. However, the upside move failed to sustain and the price fell abruptly. You can notice that the first RSI touched the overbought area and took a pivot along with the second RSI staying below the 50 level. The sell entry triggered at 9:40 a.m. with the stoploss at the high of the red candle. With this strategy, we booked profits at 1:10 p.m. with a Risk to Reward ratio of 1:5.

